



Sample Questions for Economics Exam

SQ1. What are the differences between Microeconomics and Macroeconomics?

SQ2. Which of the following two statements involves positive economic analysis and which normative? How do the two kinds of analysis differ?

- a. Gasoline rationing (allocating to each individual a maximum amount of gasoline that can be purchased each year) is poor social policy because it interferes with the workings of the competitive market system.
- b. Gasoline rationing is a policy under which more people are made worse off than are made better off.

SQ3. Define these concepts: i) Nominal Price, ii) Real Price, iii) Consumer Price Index, iv) Producer Price Index.

SQ4. In 2024, the price of a basket of goods is 5000 Taka. In 2025, the same basket of goods costs 5500 Taka. Calculate the Consumer Price Index (CPI) for 2025 using 2024 as the base year.



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SQ5. In 2024, the cost of producing a basket of goods for a manufacturer is 4000 Taka. In 2025, the same basket of goods costs 4400 Taka. Calculate the Producer Price Index (PPI) for 2025 using 2024 as the base year.

SQ6. A local coffee shop, "BrewTime," is considering whether to increase the price of its coffee due to rising costs of coffee beans. The shop owner wants to understand how this price increase will affect sales and profits. The shop has a loyal customer base, but some customers might stop coming if the prices rise too much. ***How can microeconomics help the owner of "BrewTime" make an informed decision about raising the price of coffee?***

SQ7. Imagine a popular online shopping platform in Bangladesh called "Shop-Plus" that sells electronic gadgets. The platform is selling a smartphone for 30,000 Taka. At the same time, a local electronics store in Dhaka, "TechWorld," is selling the same smartphone for 32,000 Taka. However, due to differences in shipping costs, "Shop-Plus" offers free shipping within Dhaka, while "TechWorld" charges 500 Taka for delivery. An enterprising individual notices



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Classwork



People

SQ7. Imagine a popular online shopping platform in Bangladesh called "Shop-Plus" that sells electronic gadgets. The platform is selling a smartphone for 30,000 Taka. At the same time, a local electronics store in Dhaka, "TechWorld," is selling the same smartphone for 32,000 Taka. However, due to differences in shipping costs, "Shop-Plus" offers free shipping within Dhaka, while "TechWorld" charges 500 Taka for delivery. An enterprising individual notices this price difference and decides to buy smartphones from "Shop-Plus" and resell them at "TechWorld" for a small profit.

What is the economic concept of "arbitrage," and how is it applied in this case?

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People

1

microeconomics

studies individual income

Analyze demand and supply of a laborer or
Analyze individual demand.

Individual market supply

Price of a good or service

single market.
Ex: milk

macroeconomics

studies national income (GDP)

Analyze Total demand ~~in~~ in an economy.

total supply in an economy

Avg price levels in an economy (inflation)

Entire Economy.
Ex: Singapore

(confused)

2

Statement a involves positive economic analysis.

Positive analysis deals with objective and verifiable statements about the world as it is. It focuses on describing and explaining economic phenomena without making value judgements.

Statement b involves normative economic analysis. Normative analysis involves subjective, value-laden statements about how the world should be.

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iv) PPI (Product Price Index): PPI is the measure of aggregate price level for intermediate product and households goods.

i) Nominal Price: Nominal Price is the absolute and current price of a good. Ex A bread price today \$2.

ii) Real Price: The price of a good or service adjusted for changes in purchasing power is the real price.

iii) CPI (Consumer Price Index): A measure of average change over time in the prices paid by urban consumers for a market basket. It is used to monitor changes in the cost of living.

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To calculate the Consumer Price Index (CPI) for 2025 using 2024 as the base year, we use the following formula:

$$\begin{aligned} \text{CPI} &= \frac{\text{Cost of Basket in 2025}}{\text{Cost of Basket in base year (2024)}} \times 100 \\ &= \frac{110}{5500} \times 100 \\ &= 110 \end{aligned}$$

So, the Consumer Price Index (CPI) for 2025 using 2024 as the base year is 110.

5]

Calculation of Producer Price Index (PPI)

$$\begin{aligned} \text{PPI} &= \frac{\text{Cost of Basket in 2025}}{\text{Cost of Basket in 2024}} \times 100 \\ &= \frac{4400}{4000} \times 100 \\ &= 110 \end{aligned}$$

5]
microeconomics can help the owners by analyzing demand, elasticity, costs and consumer behavior.

□ Demand Analysis: Microeconomics can help analyze the price elasticity of demand for coffee. If the demand is inelastic, sales might not fall much, and profit could rise. The owners should estimate how sensitive customers are to price changes.

□ Cost Analysis: Rising coffee bean prices affect the shop's cost structure. By considering the marginal cost of production the owner can determine the optimal price point for maximizing profit.

market structure: Understanding the market structure and competitive react. landscape can react to a price increase and how it could impact market share.

Revenue and profit maximization: By analyzing marginal cost and marginal revenue, the owners can identify the price point where profits are maximized.

- Sub

- Consumer Behavior: microeconomics can help predict how loyal customers and potential new customers might respond to a price increase.

9) Arbitrage is the practice of ~~taking~~ advantage buying at a low price at one location and selling at a higher price in another.

In this case:

- "shop-plus" sells the smartphone for 30,000 Taka with free delivery
- "TechWorld" sells it for 32000 Tk and charges 500 Taka for delivery

An individual buys smartphones from "shop-plus" and resells them at or near Techworld's price.

This allows the individual to earn a profit without bearing any risk.

That's why we can say,

is the practice of taking adv of a price diff between two or more markets to make a profit without risk.